

Situations of oversupply can be a challenge as well as an opportunity for firms in an industry.

Aggressive Approach

Firms that have expanded capacity at a fast pace see their profitability reduce and find their balance sheets stretched with leveraged assets.

→ Such firms find oversupply challenging.

Conservative Approach

Whereas firms that had resisted capacity expansion with a conservative approach find their balance sheets to be strong and they can navigate through tough times in the industry.

- An opportunity arises for them when the weak companies go bankrupt or wish to exit the industry and sell assets at cheap prices.
- The stronger ones get an opportunity to consolidate operations at cheap prices and they emerge stronger when oversupply corrects itself.

Entrepreneurs and analysts thus need to strategize appropriately about when to increase supply and when not to, so that their firms are best placed to benefit when the opportunity arises.